



# MARKET MONITOR

## Contents

|                                   |    |
|-----------------------------------|----|
| World supply-demand outlook ..... | 1  |
| Crop monitor .....                | 3  |
| Policy developments .....         | 6  |
| International prices .....        | 8  |
| Futures market (US) .....         | 10 |
| Market indicators .....           | 11 |
| Fertilizer outlook .....          | 13 |
| Ocean freight markets .....       | 14 |
| Explanatory notes .....           | 15 |

No. 91 – September 2021

*Despite somewhat tighter supply prospects than envisaged earlier, markets for AMIS crops are likely to remain generally balanced in 2021/22. Wheat export prices rallied in recent weeks on a deteriorating production outlook and quality concerns in a number of major exporting countries, while maize and soybeans prices remained firm owing to low inventory prospects. By contrast, export prices of rice remained under pressure from a slow pace of sales and generally favourable supply expectations.*

## Markets at a glance

|                 | From previous forecast | From previous season |
|-----------------|------------------------|----------------------|
| <b>Wheat</b>    | ▼                      | ▼                    |
| <b>Maize</b>    | ▼                      | ▼                    |
| <b>Rice</b>     | ■                      | ▲                    |
| <b>Soybeans</b> | ▼                      | ▲                    |

▲ Easing      ■ Neutral      ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations and entities that form the AMIS Secretariat.

## World supply-demand outlook

- **Wheat** production forecast for 2021 lowered since the previous report in July mostly on reduced yields due to dry conditions, particularly in Canada, the Russian Federation, and the US, and now falling slightly below the 2020 record level.
- Utilization in 2021/22 trimmed but still seen rising above the 2020/21 level by 2.4 percent with expected growth in food, feed, and other uses.
- Trade in 2021/22 (July/June) downgraded and now pointing to a slight contraction from 2020/21 with reduced sales from Canada, the Russian Federation and the US being only partially offset by higher shipments from Argentina, the EU, and Ukraine.
- Stocks (ending in 2022) now forecast to fall slightly below their record opening levels after this month's downward revisions in several countries, especially Canada, the Russian Federation and the US.
- **Maize\*** production in 2021 still forecast to reach an all-time high despite this month's sharp downward revisions to production prospects in Brazil and the US.
- Utilization in 2021/22 scaled up, supported by stronger growth in food consumption and industrial use than projected earlier.
- Trade in 2021/22 (July/June) pointing to a decline from the 2020/21 record level with reduced shipments from Brazil and the US outweighing larger sales from Argentina and Ukraine.
- Stocks (ending in 2022) lowered on downward revisions in Brazil and the US, but still projected to rise slightly above opening levels.
- **Rice** production in 2021 trimmed primarily reflecting area-based downgrades for Iran, Japan and the US, which offset an upward revision for Viet Nam.
- Utilization in 2021/22 little changed from July, as lower than previously anticipated food uses were largely outweighed by higher forecast feed and industrial uptake.
- Trade in 2022 (January-December) raised somewhat and now pointing to a 1.7 percent y/y expansion on expectations that a retrenchment in Far Eastern demand will be more than compensated by continued growth in African purchases and a recovery in imports from all other regions.
- Stocks (2021/22 carry-out) marginally changed and still seen at their second-highest volume on record.
- **Soybean** 2021/22 production forecast reduced from July as downward corrections for the US, Argentina and India outweigh a small upward revision for Brazil, while global output is still expected to grow by 5 percent from 2020/21.
- Utilization 2021/22 lowered marginally from July, with reductions in China and elsewhere outweighing higher forecasts for Brazil.
- Trade in 2021/22 trimmed slightly compared to July, mostly reflecting lower import forecast for China due to reduced crush margins and lower than earlier anticipated growth in the country's hog industry.
- Stocks (2021/22 carry-out) scaled down by 6.3 percent since July, owing to lower forecasts for China and Brazil, and now barely above the below-average level in 2020/21.

|                   | FAO-AMIS    |                |                | USDA        |                | IGC         |                |
|-------------------|-------------|----------------|----------------|-------------|----------------|-------------|----------------|
|                   | 2020/21 est | 2021/22 f'cast | 2021/22 f'cast | 2020/21 est | 2021/22 f'cast | 2020/21 est | 2021/22 f'cast |
|                   | 8 Jul       | 2 Sep          | 12 Aug         | 26 Aug      |                |             |                |
| Wheat             |             |                |                |             |                |             |                |
| Prod.             | 775.1       | 784.7          | 769.5          | 775.8       | 776.9          | 773.4       | 789.4          |
| Supply            | 640.9       | 648.3          | 632.4          | 641.6       | 640.9          | 639.1       | 653.4          |
| Utiliz.           | 1053.0      | 1076.4         | 1059.4         | 1073.5      | 1065.7         | 1049.7      | 1070.1         |
| Trade             | 792.1       | 809.6          | 792.0          | 788.8       | 785.1          | 786.7       | 807.1          |
| Stocks            | 759.0       | 779.7          | 777.5          | 784.7       | 786.7          | 768.7       | 786.9          |
|                   | 618.1       | 636.9          | 634.7          | 634.7       | 638.7          | 622.8       | 643.8          |
|                   | 187.8       | 189.4          | 185.1          | 198.2       | 199.8          | 190.6       | 191.3          |
|                   | 177.4       | 178.4          | 176.1          | 187.5       | 189.8          | 179.4       | 182.1          |
|                   | 289.9       | 296.9          | 284.1          | 288.8       | 279.1          | 280.7       | 283.2          |
|                   | 159.6       | 162.2          | 150.7          | 144.2       | 137.4          | 152.5       | 154.2          |
| in million tonnes |             |                |                |             |                |             |                |
| Maize             |             |                |                |             |                |             |                |
| Prod.             | 1156.5      | 1197.5         | 1191.3         | 1115.4      | 1186.1         | 1130.6      | 1201.3         |
| Supply            | 895.8       | 924.0          | 917.8          | 854.7       | 918.1          | 869.9       | 928.5          |
| Utiliz.           | 1457.6      | 1476.5         | 1471.3         | 1421.7      | 1466.9         | 1428.1      | 1467.9         |
| Trade             | 1048.7      | 1054.4         | 1047.1         | 960.5       | 1000.7         | 975.6       | 1004.6         |
| Stocks            | 1175.1      | 1192.7         | 1195.1         | 1140.9      | 1182.2         | 1161.5      | 1201.0         |
|                   | 890.8       | 899.3          | 901.7          | 851.9       | 888.2          | 870.6       | 901.8          |
|                   | 188.4       | 188.8          | 186.0          | 184.1       | 191.4          | 189.1       | 181.0          |
|                   | 165.5       | 164.8          | 162.0          | 158.1       | 165.4          | 160.1       | 163.0          |
|                   | 279.9       | 292.7          | 282.6          | 280.8       | 284.6          | 266.6       | 266.9          |
|                   | 129.3       | 141.0          | 128.9          | 82.6        | 86.5           | 76.0        | 84.8           |
| in million tonnes |             |                |                |             |                |             |                |
| Rice              |             |                |                |             |                |             |                |
| Prod.             | 514.3       | 519.5          | 519.1          | 505.8       | 507.4          | 504.1       | 512.2          |
| Supply            | 369.1       | 372.9          | 372.5          | 357.5       | 358.4          | 355.9       | 361.7          |
| Utiliz.           | 697.4       | 703.5          | 703.4          | 683.6       | 684.4          | 678.0       | 681.2          |
| Trade             | 448.9       | 454.3          | 454.2          | 418.8       | 418.9          | 419.8       | 422.9          |
| Stocks            | 512.8       | 520.8          | 520.5          | 506.6       | 514.3          | 508.9       | 510.0          |
|                   | 364.8       | 371.2          | 370.9          | 356.3       | 358.6          | 358.0       | 360.0          |
|                   | 47.6        | 48.0           | 48.4           | 48.3        | 47.7           | 46.5        | 46.7           |
|                   | 43.9        | 45.0           | 45.2           | 44.4        | 44.1           | 43.4        | 44.1           |
|                   | 184.3       | 184.9          | 185.1          | 176.9       | 170.1          | 169.0       | 171.2          |
|                   | 81.7        | 84.8           | 85.0           | 60.4        | 59.1           | 58.6        | 60.2           |
| in million tonnes |             |                |                |             |                |             |                |
| Soybean           |             |                |                |             |                |             |                |
| Prod.             | 361.9       | 385.8          | 380.6          | 363.3       | 383.6          | 362.6       | 383.4          |
| Supply            | 342.3       | 367.4          | 362.2          | 343.7       | 364.6          | 343.0       | 364.8          |
| Utiliz.           | 416.6       | 431.8          | 426.4          | 459.1       | 476.5          | 413.2       | 430.9          |
| Trade             | 377.6       | 390.4          | 385.5          | 412.7       | 426.7          | 364.7       | 378.3          |
| Stocks            | 369.1       | 383.3          | 380.9          | 366.1       | 378.6          | 365.8       | 378.3          |
|                   | 254.9       | 261.5          | 260.6          | 253.6       | 260.9          | 247.8       | 256.5          |
|                   | 164.8       | 171.7          | 170.3          | 164.9       | 172.3          | 171.9       | 174.3          |
|                   | 66.8        | 68.7           | 69.3           | 67.9        | 71.3           | 68.4        | 69.8           |
|                   | 45.8        | 49.3           | 46.2           | 92.8        | 96.1           | 47.4        | 52.6           |
|                   | 23.3        | 26.8           | 24.7           | 62.0        | 63.1           | 13.4        | 17.4           |
| in million tonnes |             |                |                |             |                |             |                |

*Data shown in the second rows refer to world aggregates without China; world trade data refer to exports and world trade without China excludes exports to China.*

To review and compare data, by country and commodity, across three main sources, go to <https://app.amis-outlook.org/#/market-database/compare-sources>. Estimates and forecasts may differ across sources for many reasons, including different methodologies.

\*The 2020/21 AMIS-FAO world maize production forecast includes southern hemisphere maize crops harvested in 2020 whereas IGC and USDA include southern hemisphere maize crops to be harvested in 2021 in their 2020/21 world production numbers.

For more information see Explanatory notes on the last page of this report.

# Revisions (FAO-AMIS) to 2021/22 forecasts since the previous report

in thousand tonnes

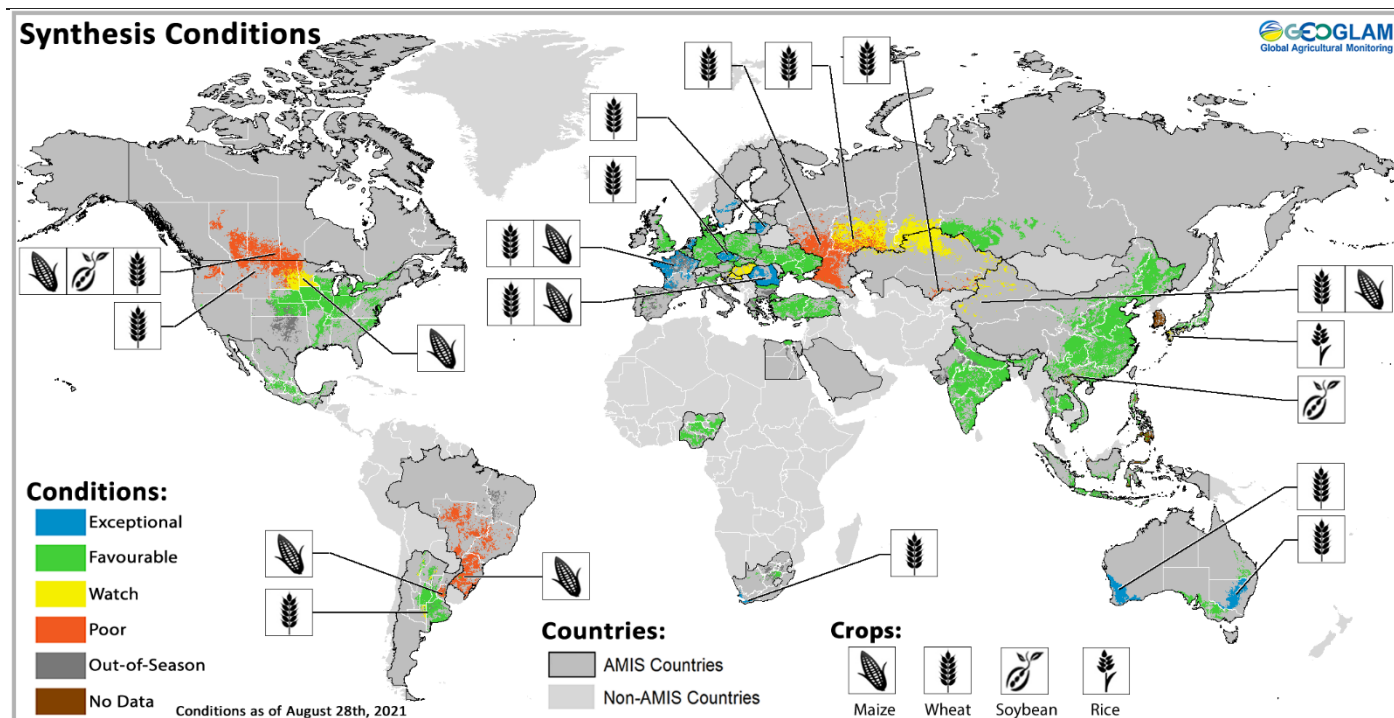
|                   | WHEAT         |              |              |              |               | MAIZE        |              |             |              |               |
|-------------------|---------------|--------------|--------------|--------------|---------------|--------------|--------------|-------------|--------------|---------------|
|                   | Production    | Imports      | Utilization  | Exports      | Stocks        | Production   | Imports      | Utilization | Exports      | Stocks        |
| <b>WORLD</b>      | <b>-15201</b> | <b>-4318</b> | <b>-2226</b> | <b>-4308</b> | <b>-12805</b> | <b>-6155</b> | <b>-2743</b> | <b>2475</b> | <b>-2778</b> | <b>-10064</b> |
| <b>Total AMIS</b> | <b>-16609</b> | <b>-3300</b> | <b>-1613</b> | <b>-5100</b> | <b>-15140</b> | <b>-7856</b> | <b>-1950</b> | <b>2276</b> | <b>-3143</b> | <b>-10342</b> |
| Argentina         | -             | -            | -            | 1,000        | -             | 1500         | -            | 500         | 1000         | -             |
| Australia         | -             | -            | -            | 1,000        | -             | -            | -            | -           | -            | -             |
| Brazil            | 1,649         | -1,000       | -251         | 400          | 200           | -6350        | 400          | 2250        | -3000        | -4000         |
| Canada            | -10,878       | -            | -1,028       | -7,000       | -2,850        | 300          | -            | 1000        | -310         | -100          |
| China Mainland    | 670           | -2,000       | -            | -            | -1,330        | -            | -            | -           | -            | 2000          |
| Egypt             | -             | -300         | -            | -            | -1,047        | -            | -            | -           | -            | -             |
| EU                | 1,823         | -500         | 131          | 1,500        | -1000         | 2198         | -1500        | 531         | 167          | -500          |
| India             | -             | -            | -            | -            | -             | -            | -            | -           | -            | -             |
| Indonesia         | -             | -            | -            | -            | -             | -            | -            | -           | -            | -             |
| Japan             | -             | -            | -            | -            | -             | -            | -            | -           | -            | -             |
| Kazakhstan        | -2,000        | 600          | -            | -500         | -1,380        | -            | -            | -           | -            | -5            |
| Mexico            | 185           | -            | 185          | -            | -             | 195          | -500         | -305        | -            | -             |
| Nigeria           | -             | -            | -            | -            | -             | -            | -            | -           | -            | -             |
| Philippines       | -             | -            | -            | -            | -             | -            | -            | -           | -            | -             |
| Rep. of Korea     | -             | -            | -            | -            | -             | -            | -            | -           | -            | -             |
| Russian Fed.      | -4,000        | -            | -            | -2,000       | -2,000        | -            | -            | -           | -            | -             |
| Saudi Arabia      | -             | -            | -            | -            | -200          | -            | -850         | -850        | -            | -             |
| South Africa      | -             | -            | -            | -            | -             | 301          | -            | 301         | -            | -             |
| Thailand          | -             | -            | -            | -            | -             | -            | 500          | 500         | -            | -             |
| Turkey            | -             | -            | -            | -            | -526          | -            | -            | -           | -            | -             |
| Ukraine           | 1,000         | -            | -            | 1,500        | -1,111        | 1000         | -            | -           | 2000         | -1589         |
| UK                | 423           | -500         | -77          | -            | -             | -            | -            | -           | -            | -             |
| US                | -5,481        | 400          | -573         | -1,000       | -3,896        | -7000        | -            | -1651       | -3000        | -6148         |
| Viet Nam          | -             | -            | -            | -            | -             | -            | -            | -           | -            | -             |

|                   | RICE        |            |             |            |            | SOYBEANS     |              |              |              |              |
|-------------------|-------------|------------|-------------|------------|------------|--------------|--------------|--------------|--------------|--------------|
|                   | Production  | Imports    | Utilization | Exports    | Stocks     | Production   | Imports      | Utilization  | Exports      | Stocks       |
| <b>WORLD</b>      | <b>-411</b> | <b>452</b> | <b>-293</b> | <b>431</b> | <b>180</b> | <b>-5242</b> | <b>-1420</b> | <b>-2378</b> | <b>-1392</b> | <b>-3107</b> |
| <b>Total AMIS</b> | <b>8</b>    | <b>385</b> | <b>32</b>   | <b>331</b> | <b>491</b> | <b>-5042</b> | <b>-1260</b> | <b>-2187</b> | <b>-792</b>  | <b>-3168</b> |
| Argentina         | -           | -          | -           | -          | -          | -2500        | 850          | -250         | -1300        | -700         |
| Australia         | -           | -          | -           | -          | -          | -            | -            | -            | -            | -            |
| Brazil            | 78          | -          | 128         | -          | -          | 450          | 100          | 1195         | 2100         | -1031        |
| Canada            | -           | -          | -           | -          | -          | -225         | -            | 50           | -400         | 125          |
| China Mainland    | -           | 200        | -10         | -          | -          | -            | -2000        | -1450        | -100         | -1000        |
| Egypt             | -           | -          | -           | -          | -          | -            | -            | -130         | -            | -            |
| EU                | -39         | 30         | -30         | -          | 30         | -71          | 33           | 462          | -            | -500         |
| India             | -           | -          | -           | -          | -          | -1000        | -            | -800         | -            | -200         |
| Indonesia         | -           | -          | -           | -          | -          | -            | -100         | -240         | -            | -20          |
| Japan             | -120        | -          | -255        | -          | 500        | -            | -            | -            | -            | -            |
| Kazakhstan        | -           | -          | -           | -          | -          | -            | -            | -            | -            | -            |
| Mexico            | -           | -          | -20         | -          | -15        | -10          | -100         | -110         | -            | -            |
| Nigeria           | -           | -          | -           | -          | -          | -            | -            | -            | -            | -            |
| Philippines       | -           | -          | -74         | -          | 150        | -            | -            | -            | -            | -            |
| Rep. of Korea     | -           | -          | -           | 10         | -          | -            | -            | -20          | -            | -            |
| Russian Fed.      | -           | -          | -           | -          | -          | -            | -            | -100         | -            | -            |
| Saudi Arabia      | -           | -          | -           | -          | -30        | -            | -            | -            | -            | -            |
| South Africa      | -           | -          | -2          | -          | -18        | 124          | 10           | -50          | -            | 182          |
| Thailand          | -           | -          | -           | 300        | -220       | -            | -            | -            | -            | -            |
| Turkey            | -           | -          | -           | -          | -          | -            | -            | -50          | -            | -            |
| Ukraine           | -           | -          | -           | -          | -          | -10          | -14          | -91          | 108          | -            |
| UK                | -           | 30         | -           | -          | -          | -            | -            | -            | -            | -            |
| US                | -198        | 25         | -157        | 25         | -56        | -1800        | -            | -570         | -1200        | -10          |
| Viet Nam          | 286         | 100        | 451         | -4         | 150        | -            | -39          | -33          | -            | -14          |

## Crop monitor

Crop conditions in AMIS countries (as of 28 August)



Crop condition map synthesizing information for all four AMIS crops as of 28 August. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

### Conditions at a glance

**Wheat** - In the northern hemisphere, winter wheat harvesting is mostly complete while spring wheat harvesting is wrapping up, with poor conditions persisting in parts of Canada, the US, Kazakhstan, and the Russian Federation. In the southern hemisphere, winter wheat continues to develop under generally favourable conditions.

**Maize** - Harvesting in the southern hemisphere is mostly complete with below-average yields in Brazil and parts of Argentina. Planting and development continue in the northern hemisphere under generally favourable conditions except in parts of the US, eastern Europe, and Canada.

**Rice** – Harvesting of single-season crops is underway in China while transplanting of Kharif season crops is mostly complete in India. In Southeast Asia, wet-season conditions remain favourable in the north, and in Indonesia, conditions for dry-season rice are favourable despite delayed planting progress.

**Soybeans** - In the northern hemisphere, crops are developing under generally favourable conditions as harvesting begins in some regions. However, concern remains in parts of the northern US and western Canada due to persistent dryness.

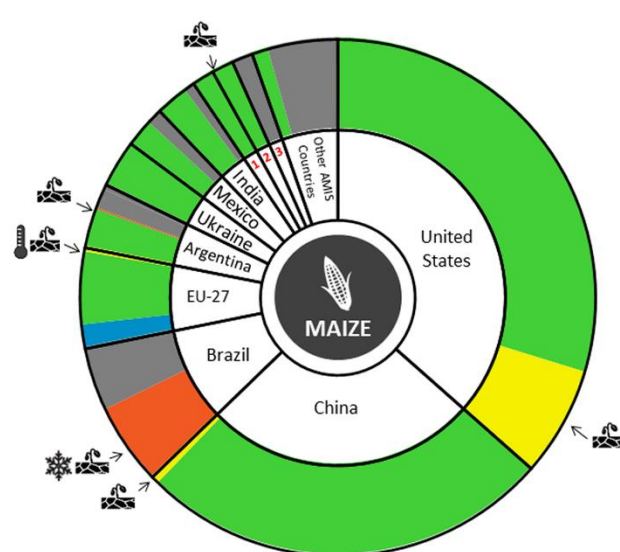
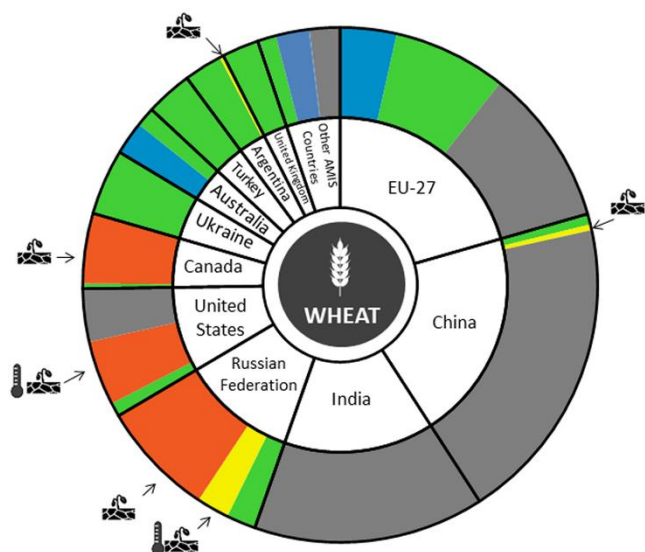
### Climate Influences: La Niña Watch and Negative Indian Ocean Dipole

*Neutral El Niño-Southern Oscillation (ENSO) conditions are present and expected to continue into September. A La Niña event will potentially develop during the September-to-November season and last through early 2022 (67 percent chance for October to December; 69 percent to 55 percent chance for November to March). The IRI/CPC has issued a La Niña Watch.*

*La Niña conditions typically increase the chances of below-average precipitation in East Africa, Central Asia, southern South America, southern United States, northern Mexico, and eastern East Asia. La Niña conditions typically increase the chances of above-average precipitation in Southeast Asia, Australia, Southern Africa, and northern South America.*

*A negative Indian Ocean Dipole (IOD) event is underway. Negative IOD conditions are expected to continue into November, according to the Australia Bureau of Meteorology forecast (79 percent to 56 percent chance for September to November). Negative IOD conditions typically increase the chances of above-average rainfall in Southeast Asia and Australia and below-average rainfall in East Africa.*



**Conditions:****Drivers:**

Canada<sup>1</sup>, Russian Federation<sup>2</sup>, South Africa<sup>3</sup>

## Wheat

In the **EU**, harvesting of winter wheat is mostly complete with above-average yields due to beneficial wetter than normal conditions throughout the season. In the **UK**, winter wheat harvesting finalized in August under favourable conditions. In **Turkey**, harvesting of winter wheat finalized under favourable conditions despite recent periods of hot weather. In **Ukraine**, harvesting of winter wheat finalized with the highest yield in the last five years. In the **Russian Federation**, harvesting of winter-planted wheat finalized with below-average yields due to winterkill in the key producing Southern District. There is concern for spring-planted wheat in southern Volga and southern Ural regions due to hotter and drier than average conditions in August. In **China**, harvesting of spring-planted wheat is nearing completion, and conditions are generally favourable except in the northwest where dryness persists. In the **US**, harvesting of winter-planted wheat finalized with below-average yields across parts of the north. Harvesting of spring-planted wheat is underway, and crops are unlikely to recover from excessive heat and dryness. In **Canada**, harvesting of winter-planted crops finalized with below-average yields in parts of the prairie impacted by persistent dry and hot conditions. Spring-planted crops are unlikely to recover from long-term rainfall deficits. In **Argentina**, winter wheat crops are developing under mixed conditions with concern in the north and La Pampa due to low rainfall received. In **Australia**, conditions are generally favourable to exceptional following good rainfall and ample soil moisture levels, particularly in the key producing states of New South Wales and Western Australia.

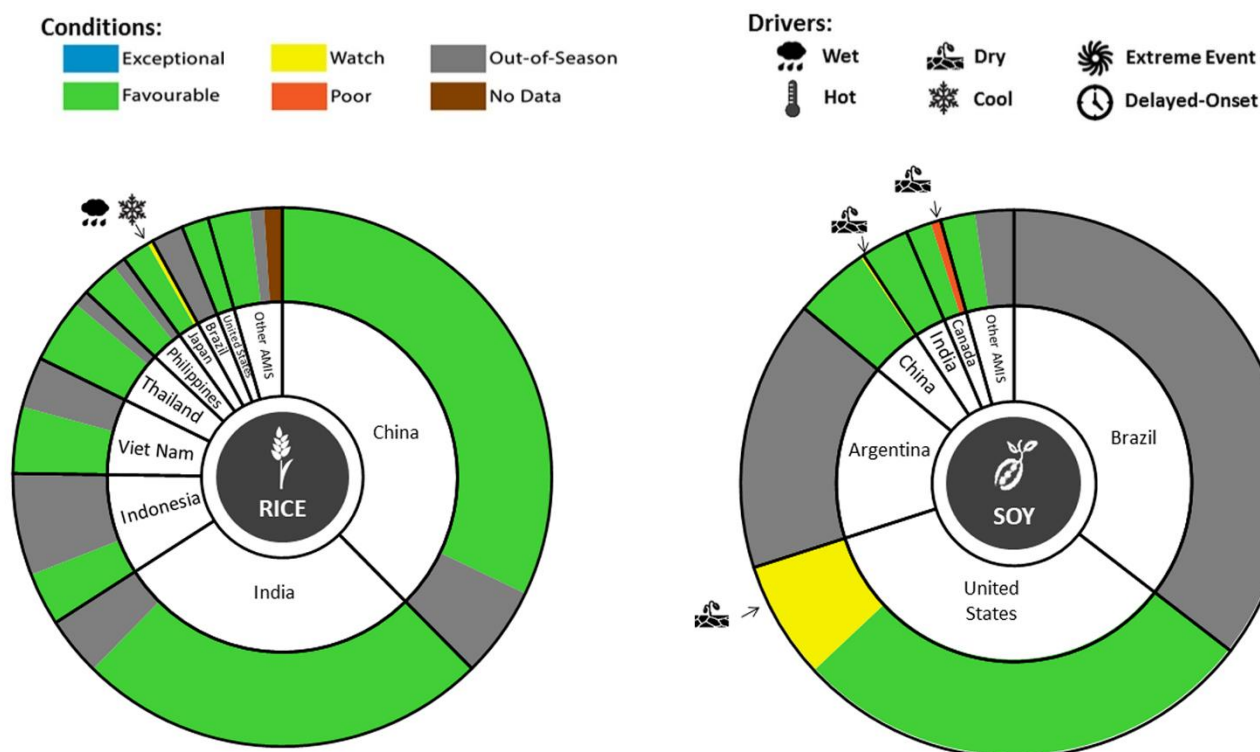
## Maize

In **Brazil**, harvesting of summer-planted (larger producing season) crops is underway with below-average yields likely due to low rainfall and periods of frost during critical development stages. In **Argentina**, harvesting of the late-planted crop (usually smaller season) is mostly complete under generally favourable conditions except in Entre Rios where dry conditions impacted yields. In the **US**, conditions are generally favourable except in the Dakotas and Minnesota where season-long dryness and heat are expected to negatively impact yields. In **Canada**, conditions in the east remain favourable while crops in Manitoba are unlikely to recover from dry and hot conditions despite recent rainfall. In **Mexico**, planting of the spring-planted (larger season) crop continued under favourable conditions despite localized crop damage due to dryness. In the **EU**, vegetation conditions are generally average to above-average except in Croatia, Hungary, and Slovenia where dry and hot conditions are impacting crop development. In **Ukraine**, harvesting began under favourable conditions with normal crop development, and yields are expected to well exceed the previous year. In the **Russian Federation**, harvesting began in August under favourable conditions with sufficient precipitation received. In **China**, harvesting of the spring-planted crop is wrapping up while summer-planted crops continue to develop, and conditions are generally favourable except in the northwest where dryness persists. In **India**, Kharif season crops are developing under favourable conditions. Sowing is nearing completion, and sown area is near-average.



**Pie chart description:** Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (95 percent of production) shown individually and the remaining 5 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.



## Rice

In **China**, conditions remain favourable for both single and late-season crops. In **India**, Kharif season crops are developing under favourable conditions despite above-average temperatures. Transplanting is mostly complete except in a few south and eastern states, and planted area is above-average. In **Indonesia**, harvesting of earlier planted dry-season rice crops continues under favourable conditions due to sufficient precipitation during the growing season. However, planting progress remains at a low level following the protracted wet-season. In **Viet Nam**, summer-autumn (wet-season) rice is in young panicle forming stage in the north while harvesting is underway in the south, and growing conditions are favourable due to better irrigation preparation and warm weather. In **Thailand**, wet-season rice is in tillering to young panicle forming stage under favourable conditions due to sufficient rainfall received as well as a timely start to the rainy season. In the **Philippines**, wet-season rice planted in April and May is in the maturing to harvesting stage under favourable conditions. High precipitation associated with the Southwest Monsoon has fallen in northern Luzon and parts of Mindanao. In **Japan**, harvesting is underway with concern in parts of the south due to cool weather, insufficient sunlight exposure from late June to early July, and heavy rainfall. Elsewhere, weather conditions have been conducive for crop development. In the **US**, overall conditions are favourable as harvest is nearing completion.

## Soybeans

In the **US**, crops continue to develop under mixed conditions with concern in the Dakotas and Minnesota due to excessive heat and dryness. In **Canada**, yield outlooks in Manitoba and Saskatchewan have been downgraded due to dry and hot conditions while conditions in the east remain favourable. In **China**, conditions are generally favourable except in the southern region where below-average precipitation may impact crop development. In **India**, crops are developing under favourable conditions. Sowing is complete in the major producing states, and sown area is above-average. In **Ukraine**, harvesting began under favourable conditions with normal crop development, and good yields are expected.

**Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 2 September 2021**

*Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANS), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. More detailed information on the GEOGLAM crop assessments is available at [www.geoglam-crop-monitor.org](http://www.geoglam-crop-monitor.org)*

## Policy developments

### Wheat

- On 25 August, the Agriculture Ministry in **Russian Federation** increased the export duty on wheat from USD 30.5 to USD 31.7 per tonne.

### Rice

- On 12 July, India postponed by 6 months the inspection certificate requirements for pesticide residues delivered by the Export Inspection Council (EIC) or the Export Inspections Agency (EIA) for all rice exports to 23 European destinations, including Turkey, Ukraine and the United Kingdom. EIC/EIA certification remains mandatory for exports to the 27 EU member States and Iceland, Liechtenstein, Norway and Switzerland.
- In August, the Agriculture Ministry of **Japan** announced that it will end the trading of rice futures from June 2022 onwards due to low volumes traded.
- On 10 August, **Thailand** announced that it will extend the annual rice price guarantee scheme in 2021/22. On 24 August, the government approved a budget of THB 89 billion (USD 309.7 million) in 2021 for the scheme.
- On 21 July, the Department of Agriculture of the **Philippines** issued a biosafety permit approving the cultivation of Golden Rice for commercial purposes ([Biosafety permit No. 21-012Propa](#)). In 2019, the Philippines had authorized this GM short-grain rice variety containing beta-carotene for direct use as food and feed, or for processing. A comprehensive deployment process involving quality and safety assurance as well as stewardship programs will be put in place until 2023, covering the entire value chain from seed production to post-harvest processing and marketing.

### Soybeans

- On 24 August, the Ministry of Commerce and Industry in **India** announced that the importation of 1.2 million tonnes of genetically modified crushed and de-oiled soy cake (non-living modified organism - NLMO) will be allowed until 31 October. The measure is intended to assist the poultry industry deal with record price hikes due to critical shortages of soymeal. It was approved after the Ministry of Environment deemed that crushed de-oiled cake belongs in the NLMO category (by contrast with GM soybean seed), and thus has no impacts on human and animal health, nor impacts on the environment.
- On 20 August, **India** halved its import taxes on soy oil and sunflower oil from 15 percent to 7.5 percent to control inflation in edible oil prices. The lower tax will be applicable until end September.

### Biofuels

- On 4 August, **Argentina** enacted a new regulation to halve the blending mandate for soybean oil-based biodiesel mixed into domestically consumed conventional diesel fuel to just five per cent. The measure is likely to increase export supply prospects for soybean oil. The ethanol blend mandate was maintained at 12 per cent (6 percent sugar-based and 6 percent maize-based).
- On 13 July, the government of **Brazil** increased the mandatory biodiesel blending requirement from 10 percent to 12 percent. The new biodiesel mandate is below the target of 13 percent for this year because of high soybean prices.
- On 2 August, the **EU** announced that it will extend its anti-dumping/countervailing duties on imports of US biodiesel until 2026. These tariffs were first introduced in 2009.
- On 19 August, under the Higher Blends Infrastructure Incentive Program, the **US** Department of Agriculture announced a new round of grants totalling USD 26 million to help retailers and fuel distributors upgrade infrastructure equipment, expand the availability of higher-blend biofuel in various states, and stimulate sales.

### Across the board

- On 13 July, the rotating presidency of the **EU** Council (Slovenia) presented the agri-food policy priorities for the second half of 2021, which include: finalizing the CAP reform by November 2021; strengthening the resilience of the agri-food sector by developing contingency procedures, food crisis response and cooperation mechanisms, and a food security plan by the end of 2021; bringing 25 per cent of agriculture land under organic farming by 2030; updating climate and energy laws to attain climate neutrality by 2050; developing a new Carbon Farming Initiative by the end of 2021 to reduce GHG emissions through better farming practices and carbon trading; and strengthening existing rules against unfair trading practices in food supply chains to enhance competitiveness.
- On 1 August, following favourable scientific assessments by the European Food Safety Authority, the **EU** Commission authorized several GM maize, soybean and oilseed varieties, and renewed authorizations for two maize and one oilseed rape varieties for food and feed purposes. Subject to compliance with EU's GMO labelling and traceability rules, these authorizations will remain valid for 10 years. The EU Commission also tightened the maximum residue limits for lead (effective 30 August)

and cadmium (effective 31 August) in a range of food products, including baby foods, infant formula, fruit, vegetables, cereals, oilseeds and spices.

- As part of its drive to enhance self-sufficiency and cut its vegetable oil imports bill, on 30 July **India** announced a INR billion 110 (USD 1.48 billion) plan (i.e. the National Mission on Oilseeds and Oil Palm) to enhance domestic oilseed, palm oil and pulse production and productivity. Assistance will be granted for the purchase of better seeds, farmers will be receiving better seeds, farm implements, tools and machinery; plant protection equipment, chemicals and fertilizers; and targeted infrastructure, technology transfer, extension and training.
- Hit by a severe drought that caused considerable livestock losses, **Kazakhstan** banned exports of rye and limited exports of barley and soft wheat used for animal feed for six months to all destinations from 15 August. Moreover, exports of feed grain were temporarily banned on 23 August pending the entry into force of export quotas on feed grains, meals and cakes from 1 September. In addition, the Ministry of Agriculture allocated KZT 1.9 billion (USD 4.5 million) to support feed producers and counter domestic price inflation.
- On 1 July, the **Ukrainian** Parliament partly reversed last year's decision to lower the value added tax (VAT) from 20 percent to 14 percent. Under the new draft law, which is yet to be signed by the President, the VAT will be reset at 20 percent for livestock, milk, oilseeds and sugar beets, but will remain at 14 percent for some agricultural products including wheat, barley, maize, soybeans, sunflower seeds and rapeseed.
- On 13 July, under the "Future Farming Resilience Fund for England" scheme, the **UK** Department for Environment, Food and Rural Affairs launched a 10.7 million GBP advisory service to assist farmers and land managers to transition smoothly from the EU Basic Payment Scheme, which is to be progressively phased out over seven years. The new advisory support service is available between August 2021 and March 2022.
- On 18 August, the **US** Environment Protection Agency (EPA) banned the use of chlorpyrifos in more than 50 food crops (including maize). Food tolerances for this insecticide were revoked after EPA concluded that aggregate exposures to chlorpyrifos are deemed unsafe under the Federal Food, Drug and Cosmetic Act. The rule will become effective six months after publication in the Federal Register.
- On 9 July, the **US** White House issued a Presidential Executive Order on promoting competition in the American Economy, which includes 72 initiatives covering

all economic sectors. In the case of agriculture, the Order seeks to counter the negative impacts of corporate concentration on input costs, particularly for seeds, equipment, feed, and fertilizers; enforce the application of current origin labelling rules (e.g. use of "*Product of USA*" in the meat sector); protect farmers' wages from unfair market practices; and improve farmers' market access opportunities and returns, including through alternative food distribution systems and new labelling standards.

- On 16 August, the **US** Department of Agriculture revised its Thrifty Food Plan, which is used to assess benefits under the Supplemental Nutrition Assistance Program (SNAP) for some 42 million eligible persons. Taking account of purchasing power updates, nutrition standards, and dietary guidelines, SNAP benefits are expected to increase by 25 per cent compared to pre-pandemic levels (i.e., by USD 36.24 on average per eligible person per month) in Fiscal Year 2022 as of 1 October. The USD 3.5 billion food stamp increases formerly authorized under the Coronavirus Response and Relief Supplemental Appropriations Act of 2021 will expire on 30 September.
- On 30 August, the WTO established a dispute settlement panel to examine **China's** compliance with an earlier ruling regarding the administration of bound tariff rate quotas for wheat, rice and maize.

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### Trade Junctures

- As of 14 July, vessels on the Parana River in **Argentina** were asked to reduce their cargo due to low water levels. A 5-day strike by truckers launched on 30 July further disrupted the trade of grains.

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### Stop Press

- On 28 June, the Central Bank of **Nigeria** and the Rice Farmers Association in Nigeria announced that 9 million tons of paddy rice will be sold to millers at the subsidized price of NGN 35000 (USD 85.1) per tonne. The measure aims to reduce the consumer price of rice.
- In June, to increase transparency in biofuel use and trade, the **Philippine** Department of Energy revised the biofuel accreditation guidelines by way of additional notices of importation and distribution, modified reporting requirements, and penalties for failure to comply with the [Biofuel Act](#) and the prescribed ethanol blending mandate, currently set at 10 percent (Department Circular No. 2021-06-0014).



## International prices

### International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

|                 | Aug 2021<br>Average* | Change<br>M/M | Y/Y      |
|-----------------|----------------------|---------------|----------|
| <b>GOI</b>      | 276                  | + 1.7 %       | + 38.5 % |
| <b>Wheat</b>    | 265                  | + 9.2 %       | + 44.2 % |
| <b>Maize</b>    | 272                  | - 1.2 %       | + 50.9 % |
| <b>Rice</b>     | 166                  | - 2.7 %       | - 11.3 % |
| <b>Soybeans</b> | 275                  | - 0.7 %       | + 43.1 % |

\*Jan 2000=100, derived from daily export quotations

#### Wheat

World wheat export prices surged sharply higher in August as concerns mounted about deteriorating production prospects and poor harvest quality in some major exporting countries. Worries were initially centred on North America, where spring wheat was severely stressed by dry and hot conditions. However, the strongest price gains were seen in Europe and the Black Sea region. Unseasonably wet weather trimmed output potential in Europe but concerns here were mainly focussed on declining quality. Disappointing yields from the harvest in Russia contributed to upward price pressure. Purchase prices under reported tenders moved sharply higher as the month progressed, exacerbated by high ocean freight rates, with several buyers passing on tenders as import costs rose.

#### Maize

The IGC GOI maize sub-Index averaged 1 percent lower in August, marking a third successive m/m decline. The steepest drop was at the US Gulf, where spot quotations weakened amid waning old crop demand and slowing ethanol production. While USDA's first 2021/22 survey-based yield estimate provided underpinning in the first half of the month, production worries were soothed by broadly positive results from a more recent private crop tour and a spell of non-threatening Midwest weather. FOB prices in Argentina remained highly competitive following the completion of the local harvest. Although persistent logistical bottlenecks contributed to increased port stockpiles, local traders continued to secure large volumes of export licences. Export values in Brazil held firm on

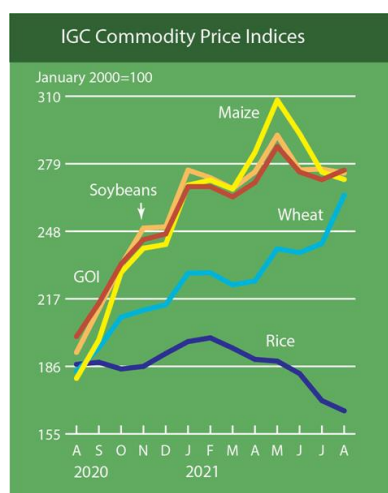
sustained worries about tight supplies and quality downgrades.

#### Rice

Average global rice prices in August were softer m/m, albeit as losses were pared by gains towards the end of the month. Thai export prices fluctuated on currency movements, while high freight rates and container shortages continued to stymie buying interest. However, signs that the lower fob prices had prompted improving demand were seen by the end of August. Vietnamese offers declined on summer/autumn crop harvesting, although labour shortages at mills and ports amid tightening COVID-19 linked restrictions provided some support to values as market activity slowed. Indian offers were also mildly weaker on increased competition from alternative suppliers.

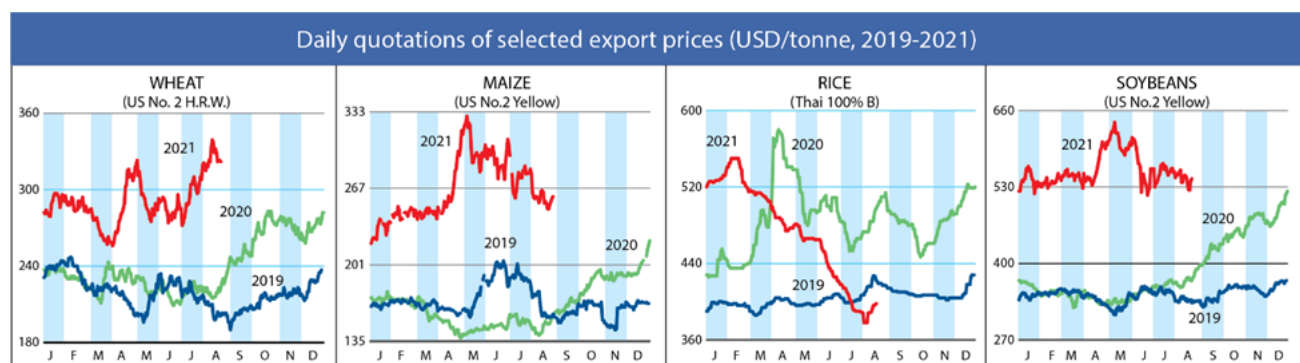
#### Soybeans

The IGC GOI soybean sub-Index retreated by 1 percent in August, mostly on a reduction in US export quotations. Although concerns about crop weather, strength in soybean product values and an uptick in demand from China underpinned, the market was weighed by signs of improving Midwest conditions, with a private crop tour indicating better than anticipated yields in some areas. At times, too, a downturn in soybean oil prices added to the negative tone. In South America, fob quotations were little-changed m/m, but with offers in Argentina seen as nominal given underlying logistical challenges surrounding navigability of the Parana River.



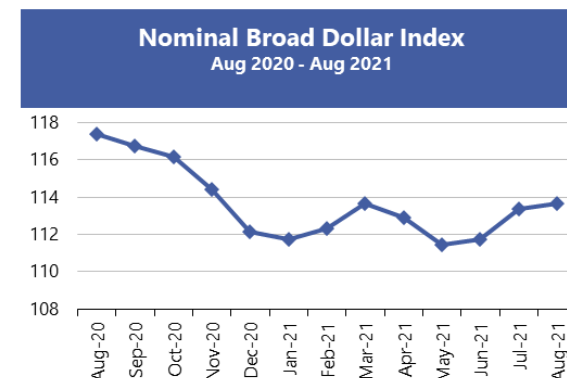
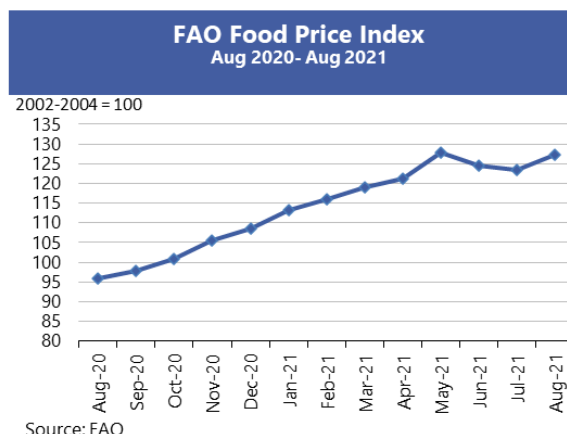
|      |           | IGC commodity price indices        |       |       |       |          |
|------|-----------|------------------------------------|-------|-------|-------|----------|
|      |           | GOI                                | Wheat | Maize | Rice  | Soybeans |
|      |           | ( ..... January 2000 = 100 ..... ) |       |       |       |          |
| 2020 | August    | 199.7                              | 183.7 | 180.5 | 186.9 | 192.4    |
|      | September | 215.0                              | 194.5 | 198.1 | 187.9 | 212.3    |
|      | October   | 233.0                              | 208.6 | 229.1 | 184.8 | 232.5    |
|      | November  | 244.2                              | 211.8 | 240.2 | 186.0 | 249.5    |
|      | December  | 246.8                              | 214.3 | 242.0 | 191.9 | 250.0    |
| 2021 | January   | 268.5                              | 228.8 | 269.2 | 197.4 | 276.1    |
|      | February  | 268.5                              | 229.0 | 271.5 | 199.1 | 272.6    |
|      | March     | 263.8                              | 223.4 | 267.4 | 194.4 | 267.6    |
|      | April     | 270.4                              | 225.2 | 284.2 | 189.2 | 275.3    |
|      | May       | 286.9                              | 240.0 | 308.2 | 188.4 | 292.1    |
|      | June      | 275.2                              | 238.2 | 292.8 | 182.7 | 276.2    |
|      | July      | 271.7                              | 242.4 | 275.2 | 170.3 | 276.6    |
|      | August    | 276.1                              | 264.6 | 271.8 | 165.6 | 274.7    |

## Selected export prices, currencies, and indices



| Daily quotations of selected export prices |                |               |               |              |                       |                       |
|--------------------------------------------|----------------|---------------|---------------|--------------|-----------------------|-----------------------|
|                                            | Effective Date | Quotation (1) | Month ago (2) | Year ago (3) | % change (1) over (2) | % change (1) over (3) |
| ..... USD/tonne .....                      |                |               |               |              |                       |                       |
| Wheat (US No. 2, HRW)                      | 31-Aug         | 322           | 308           | 243          | 4.5%                  | 32.5%                 |
| Maize (US No. 2, Yellow)                   | 27-Aug         | 260           | 279           | 161          | -6.9%                 | 61.9%                 |
| Rice (Thai 100% B)                         | 31-Aug         | 398           | 390           | 510          | 2.1%                  | -22.0%                |
| Soybeans (US No.2, Yellow)                 | 31-Aug         | 526           | 555           | 390          | -5.2%                 | 34.9%                 |

| AMIS Countries' Currencies Against US Dollar |          |                  |                |               |
|----------------------------------------------|----------|------------------|----------------|---------------|
| AMIS Countries                               | Currency | Aug 2021 Average | Monthly Change | Annual Change |
| Argentina                                    | ARS      | 97.0             | -0.9%          | -32.5%        |
| Australia                                    | AUD      | 1.4              | -1.6%          | 1.4%          |
| Brazil                                       | BRL      | 5.3              | -2.0%          | 3.5%          |
| Canada                                       | CAD      | 1.3              | -0.6%          | 4.8%          |
| China                                        | CNY      | 6.5              | 0.0%           | 6.5%          |
| Egypt                                        | EGP      | 15.7             | -0.1%          | 1.5%          |
| EU                                           | EUR      | 0.9              | -0.5%          | -0.6%         |
| India                                        | INR      | 74.3             | 0.3%           | 0.4%          |
| Indonesia                                    | IDR      | 14,377.8         | 0.8%           | 1.9%          |
| Japan                                        | JPY      | 109.8            | 0.4%           | -3.5%         |
| Kazakhstan                                   | KZT      | 425.3            | 0.4%           | -1.4%         |
| Rep. Korea                                   | KRW      | 1,159.6          | -1.3%          | 2.2%          |
| Mexico                                       | MXN      | 20.0             | -0.4%          | 9.6%          |
| Nigeria                                      | NGN      | 411.1            | 0.0%           | -8.0%         |
| Philippines                                  | PHP      | 50.3             | -0.4%          | -3.1%         |
| Russian Fed.                                 | RUB      | 73.5             | 0.5%           | 0.3%          |
| Saudi Arabia                                 | SAR      | 3.8              | 0.0%           | 0.0%          |
| South Africa                                 | ZAR      | 14.8             | -1.8%          | 14.2%         |
| Thailand                                     | THB      | 33.2             | -1.8%          | -6.4%         |
| Turkey                                       | TRY      | 8.5              | 1.1%           | -16.6%        |
| UK                                           | GBP      | 0.7              | -0.1%          | 4.8%          |
| Ukraine                                      | UAH      | 26.7             | 1.5%           | 2.7%          |
| Viet Nam                                     | VND      | 22,861.0         | 0.6%           | 1.3%          |



## Futures market (US)

### Futures Prices – nearby in USD per tonne

|                 | Aug-21<br>Average | Change |       |
|-----------------|-------------------|--------|-------|
|                 |                   | M/M    | Y/Y   |
| <b>Wheat</b>    | 267               | 9.1%   | 41.1% |
| <b>Maize</b>    | 217               | -8.7%  | 69.8% |
| <b>Rice</b>     | 294               | 1.7%   | 11.7% |
| <b>Soybeans</b> | 504               | -3.7%  | 51.8% |

Source: CME

### Historical Volatility – 30 Days, nearby

|                 | Monthly Averages |        |        |
|-----------------|------------------|--------|--------|
|                 | Aug-21           | Jul-21 | Aug-20 |
| <b>Wheat</b>    | 32.2%            | 35.9%  | 29.7%  |
| <b>Maize</b>    | 57.9%            | 62.0%  | 23.8%  |
| <b>Rice</b>     | 17.3%            | 22.6%  | 77.4%  |
| <b>Soybeans</b> | 28.0%            | 43.2%  | 12.9%  |

### Future Prices

Following the prolonged surge to 8-year highs during May and June, futures prices for wheat, maize and soybeans retreated to a more normalized trading pattern. Maize and soybean prices fell 8.7 and 3.7 percent respectively m/m, as production for both crops were projected to reach near record levels despite the drought in the upper Midwest. Conversely, wheat rose 9.1 percent m/m as Russia, Canada and the US, reported sizable reductions in winter wheat production. Although USDA lowered 2021/22 maize and soybean y/y exports while keeping wheat exports unchanged, it continued to forecast farm-gate prices at multi-year highs for the current crop year (commencing September 1), citing low ending stocks for previous and current marketing year. Rice futures, which remained largely unaffected by the past-year bull run of the other three commodities, rose negligibly m/m by 1.7 percent. Exogenous markets, including foreign exchange and energy, turned modestly negative to commodity prices. The US dollar index which dipped below the .90 level during May and June, rose above the .93 level during August, its highest level since April. US crude oil, which topped USD 73 in July, fell by about 10 percent by month-end, lessening the inflation concerns among financial analysts. The continuing tight supply situation caused prices for wheat, maize, soybeans and rice to trade higher y/y by 42.0, 70.4, 53.3 and 11.9 percent, respectively.

### Volumes and volatility

Trade volumes rose m/m for maize and wheat but fell for soybeans. Volumes were lower y/y for maize and soybeans and unchanged for wheat. Implied volatility declined for all three commodities m/m, while maintaining higher levels y/y. Historical volatility remained elevated for the three commodities, especially for maize, due in part to the collapse of extreme backwardation following the July maize contract expiration.

### Basis levels and transport

Domestic basis levels in the US were abnormally high for maize, while comparatively weak for soybeans as the market transitioned into harvest. Maize bids were quoted

at USD 14 (per tonne) premium in Illinois and USD 28 premium in Iowa over September futures. Soybeans, conversely, were quoted at USD 2 (per tonne) over the November contract in Illinois and minus USD 11 in Iowa even as ending stocks were projected at historically low levels. Soft red wheat bids remained weak domestically. For gulf delivery, maize bids were quoted as high as USD 40 over the September futures for spot, exhibiting a USD 13 (per tonne) premium to Oct shipment. Soybean bids for gulf delivery showed a similar cash bid inverse and were quoted at USD 40 for spot shipment. Soft red wheat values delivered gulf were weak at USD 9 over the September futures. Barge freight on Illinois River rose modestly from summer levels to USD 18 per tonne but remained below the three-year average. The USDA projected exports for maize and soybeans to end the 2020/2021 crop year at 175 and 159 percent higher, respectively than the previous year. USDA wheat exports for 2021/22 crop year beginning June 1 were currently lagging by 25 percent y/y.

### Forward curves

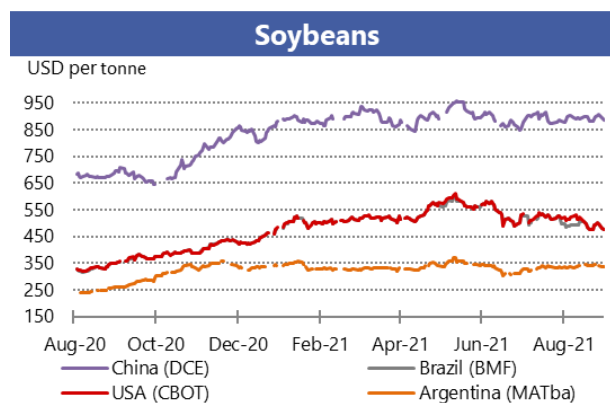
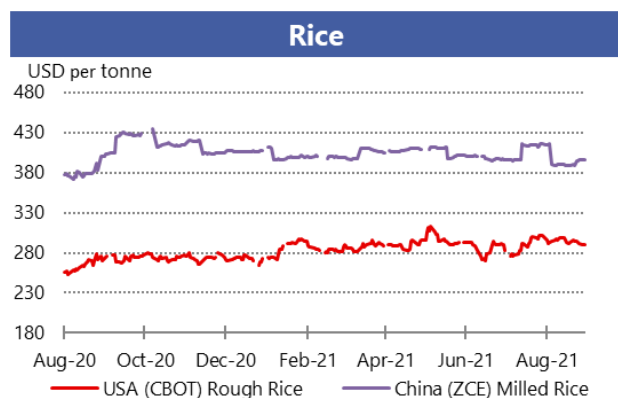
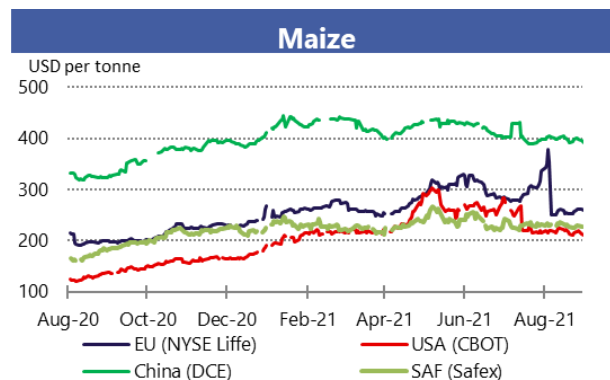
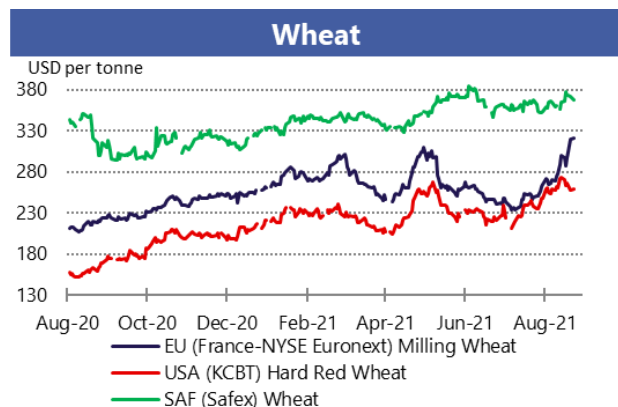
The forward curves for maize and soybeans, despite the highly inverted cash prices, lost their steep front month backwardation as the market anticipated a bumper harvest. Wheat curves slipped further into contango m/m.

### Investment flows

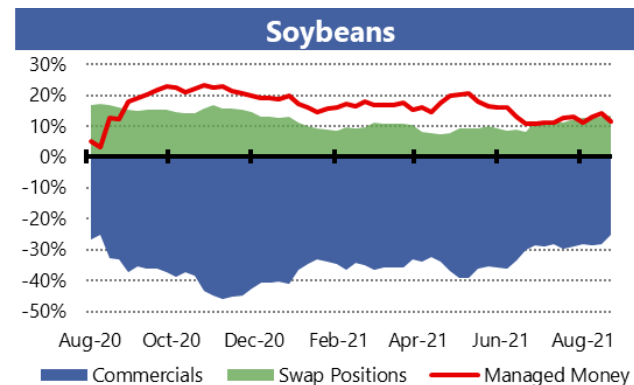
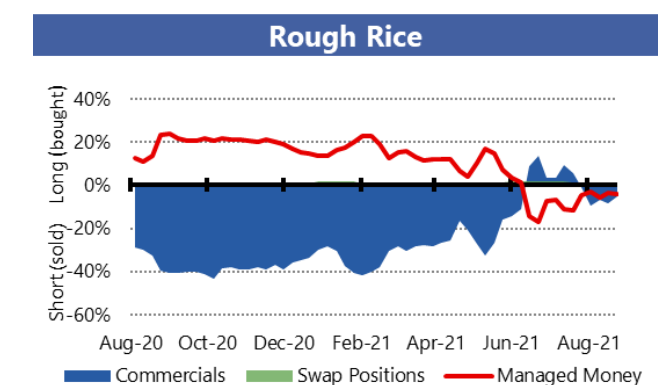
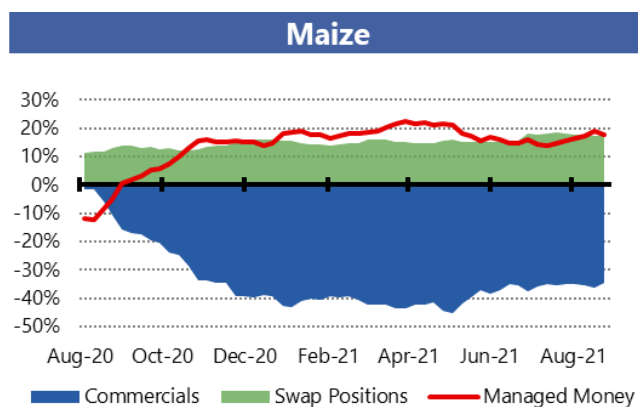
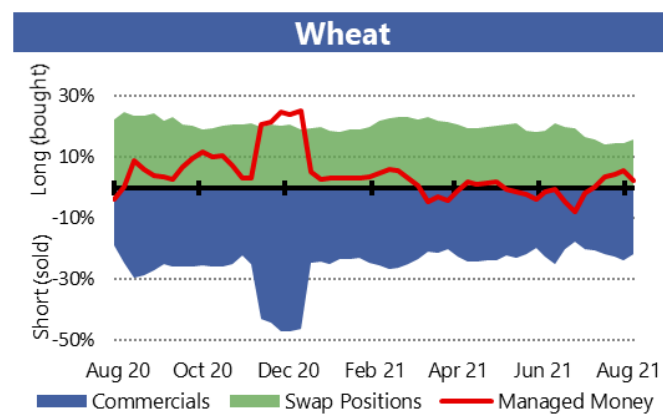
Managed money adopted a bullish stance in wheat following six months of bearish to neutral positioning. It added to its net long positions in both maize and soybeans. Commercials were large shorts in all three commodities, contrasting sharply from a year ago when commercials uncharacteristically established a small net long maize position when maize prices dipped below the cost of production.

## Market indicators

Daily quotations from leading exchanges - nearby futures



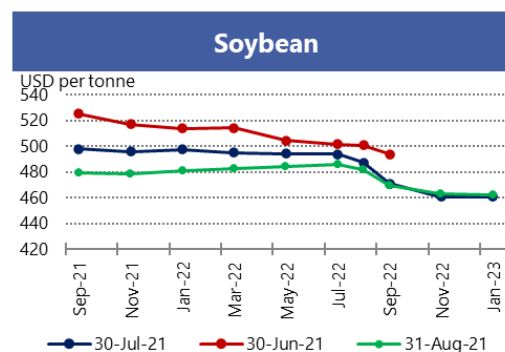
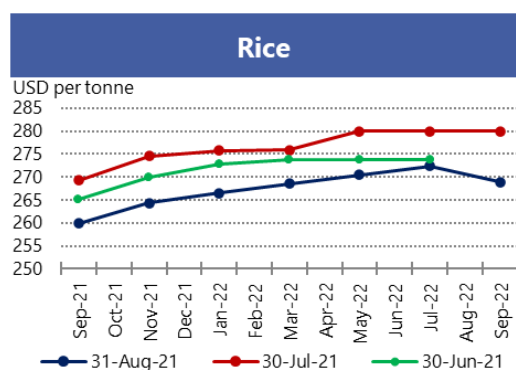
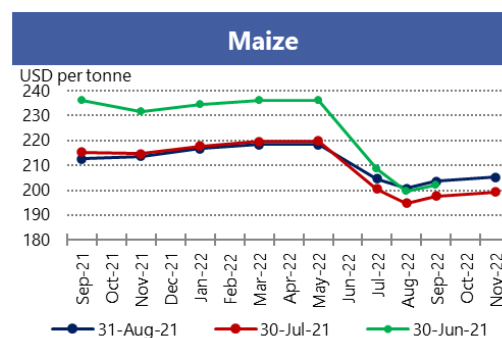
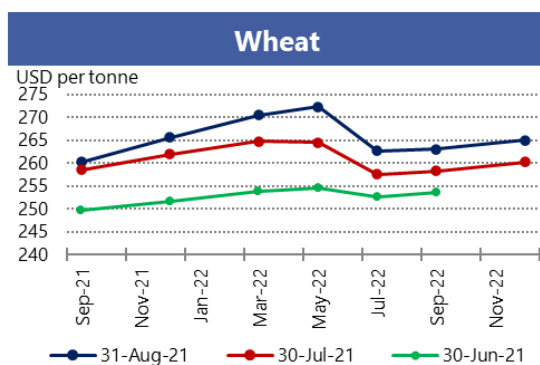
CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest\*



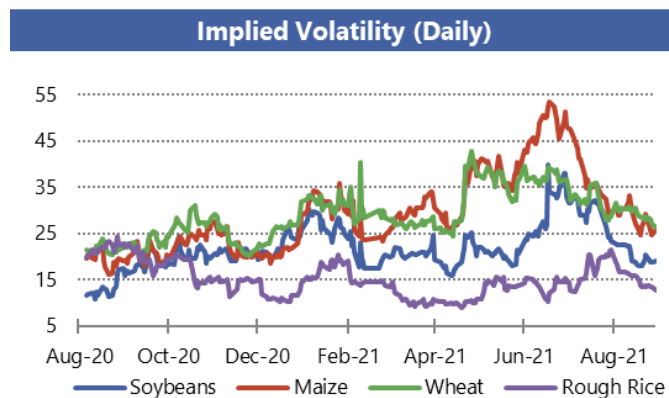
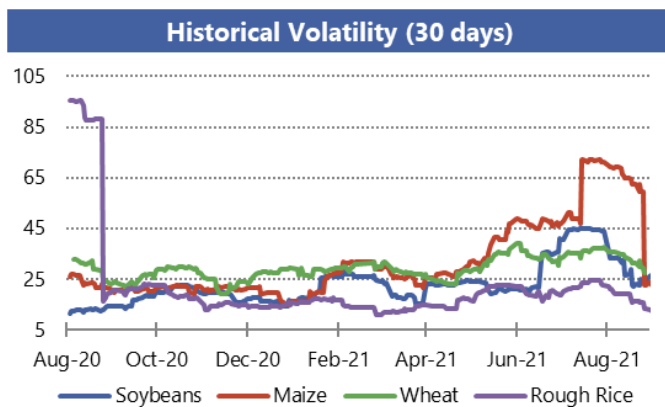
\*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.



## Forward Curves



## Historical and Implied Volatilities

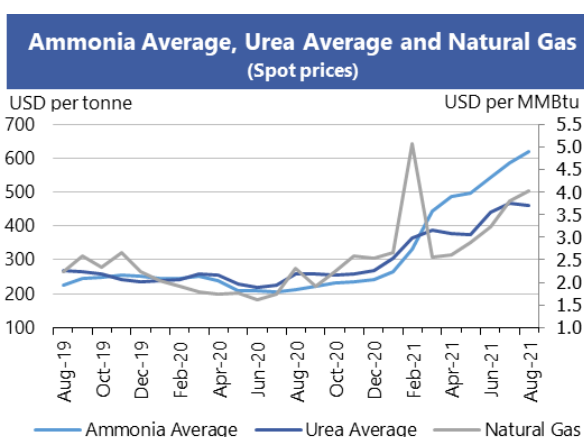
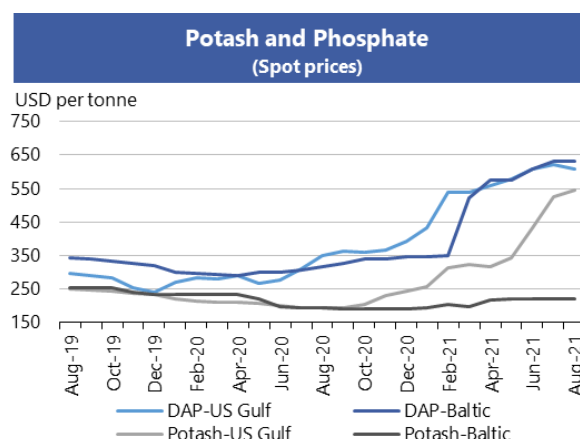
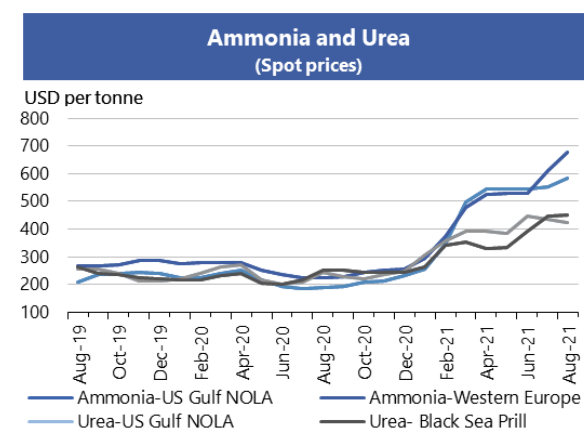


#### AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

\*For more information about Forward Curves see the feature article in [No. 75 February AMIS Market Monitor 2020](#).

## Fertilizer outlook



Note: Natural gas is used as major input to produce nitrogen-based fertilizers.  
Own elaboration based on Bloomberg.

Fertilizer prices remained firm over the past month, with several continuing their upward trend amidst supply constraints and increasing natural gas prices.

- **Natural gas** prices increased m/m due to high demand for energy use in the US resulting from extreme heat.
- **Ammonia** prices increased markedly due to supply constraints in major producing countries where various plants faced maintenance or outages.
- **Urea** prices decreased slightly, especially in the US, as the growing season winds down and dry conditions paused applications.
- **DAP** prices remained stable in the Baltic but decreased somewhat in the US due to the end of the application season and exporters compensating for US import restrictions from the Russian Federation and Morocco.
- **Potash** prices continued to increase in the US due to sanctions imposed on imports from Belorussia, a major global supplier.

|                        | August average | August std. dev | % change last month* | % change last year* | 12-month high | 12-month low |
|------------------------|----------------|-----------------|----------------------|---------------------|---------------|--------------|
| Ammonia-US Gulf NOLA   | 585.0          | -               | 5.9%                 | 212.0%              | 585           | 192          |
| Ammonia-Western Europe | 678.0          | -               | 11.0%                | 201.3%              | 678           | 230          |
| Urea-US Gulf           | 425.0          | 7.0             | -2.3%                | 74.0%               | 445.0         | 220.0        |
| Urea-Black Sea         | 451.7          | 2.9             | 1.5%                 | 80.5%               | 451.7         | 245.0        |
| DAP-US Gulf            | 608.3          | 5.8             | -2.2%                | 74.4%               | 622.0         | 360          |
| DAP-Baltic             | 630.0          | -               | 0.0%                 | 100.0%              | 630           | 327          |
| Potash-Baltic          | 220.0          | -               | 0.0%                 | 14.3%               | 220.0         | 190          |
| Potash- US Gulf NOLA   | 546.7          | 5.8             | 3.9%                 | 182.9%              | 546.7         | 194          |
| Ammonia                | 620.8          | -               | 5.7%                 | 194.5%              | 620.8         | 222.3        |
| Urea                   | 461.7          | 2.1             | -1.5%                | 78.5%               | 468.5         | 254          |
| Natural Gas            | 4.0            | 0.1             | 5.6%                 | 74.5%               | 5.1           | 1.9          |

All prices shown are in US dollars.

Source: Own elaboration based on Bloomberg



**Chart and tables description** \* Estimated using available weekly data to date.

**Ammonia and Urea:** Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

**Potash and Phosphate:** Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

**Ammonia Average and Urea Average:** Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.

**Natural Gas:** Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers

**DAP:** Diammonium Phosphate.

## Ocean freight markets

### Dry bulk freight market developments

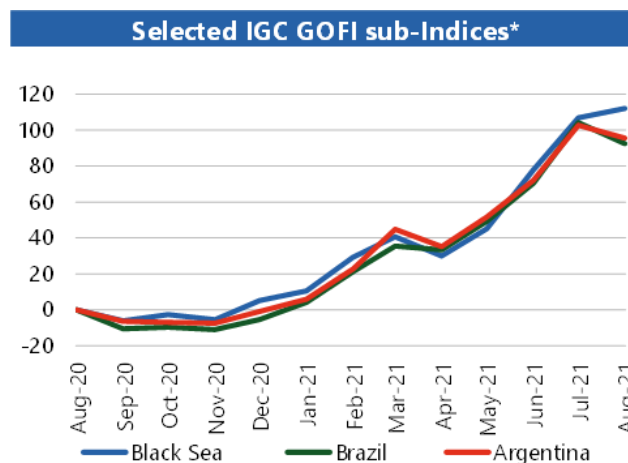
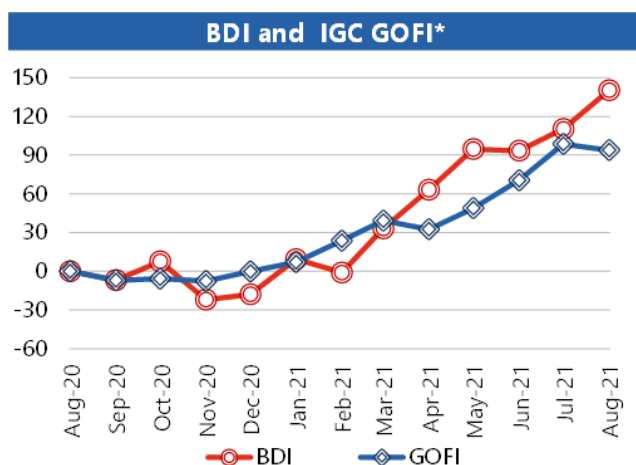
|                                 | August-21<br>average | Change<br>m/m | Change<br>y/y  |
|---------------------------------|----------------------|---------------|----------------|
| <b>Baltic Dry Index (BDI)*</b>  | <b>3642.1</b>        | <b>+14.2%</b> | <b>+140.3%</b> |
| <i>sub-Indices:</i>             |                      |               |                |
| Capesize                        | 4962.5               | +35.4%        | +112.5%        |
| Panamax                         | 3576.4               | -5.7%         | +120.0%        |
| Supramax                        | 3122.0               | +8.6%         | +241.1%        |
| Baltic Handysize Index (BHSI)** | 1817.3               | +8.7%         | +256.3%        |

Sources: Baltic Exchange, IGC.

\*4 January 1985 = 1000. \*\*23 May 2006 = 1000.

\*\*\*1 January 2013 = 100.

|                                                            | August-21<br>average | Change<br>m/m | Change<br>y/y |
|------------------------------------------------------------|----------------------|---------------|---------------|
| <b>IGC Grains and Oilseeds<br/>Freight Index (GOFI)***</b> | <b>238.4</b>         | <b>-2.4%</b>  | <b>+93.9%</b> |
| <i>sub-Indices:</i>                                        |                      |               |               |
| Argentina                                                  | 296.7                | -3.5%         | +95.6%        |
| Australia                                                  | 160.2                | +1.3%         | +103.7%       |
| Brazil                                                     | 317.2                | -5.8%         | +92.3%        |
| Black Sea                                                  | 267.2                | +2.5%         | +111.9%       |
| Canada                                                     | 177.3                | +2.2%         | +74.5%        |
| Europe                                                     | 200.5                | +2.4%         | +96.0%        |
| US                                                         | 181.9                | -0.8%         | +78.3%        |



\*percentage change based on monthly average values

- Reflecting generally robust demand for raw materials, the **Baltic Dry Index (BDI)** averaged 14 percent higher m/m in August. Background worries about the potential impact of rising coronavirus cases in Asia initially weighed on market sentiment, but recent signs that the disease was spreading more slowly in China allayed fears about a potential downturn. Additionally, China's new port restrictions, linked to its zero-tolerance approach to the pandemic, reportedly reduced vessel turnaround rates and intense congestion at local ports, thereby contributing to overall vessel supply tightness.
- Average **Capesize** values surged by around one-third over the period, with the late-month rally in prices partly linked to a spike in iron ore bookings and shipments out of Brazil.
- Average **Supramax** gains of 9 percent were partly tied to sustained trade in the Mediterranean, coupled with steady coal deliveries out of Indonesia and South Africa.
- Similarly, average **Handysize** values climbed by 9 percent, while the corresponding Baltic Index reached a near 13-year peak. Aside from tightening tonnage in Asia, underpinning stemmed from robust trading in the Black Sea region, which compensated for slower demand in the Americas.
- In contrast, **Panamax** values averaged 6 percent lower m/m. After a slow start to the month, rates climbed steadily on good demand in the Black Sea region and increased activity in the northern Atlantic and northern Pacific, where traders fixed vessels to Far East Asia. However, there were reports that exporters at the US Pacific Northwest were struggling to complete maize vessel loadings due to tight late-season availabilities.
- Softer bunker prices and reduced demand for Handysize bulkers contributed to weaker average voyage rates out of Argentina, Brazil and the US. However, modestly firmer rates elsewhere capped the m/m drop in **IGC Grains and Oilseeds Freight Index (GOFI)** values to around 2 percent.



#### Source: International Grains Council

**Baltic Dry Index (BDI):** A benchmark indicator issued daily by the Baltic Exchange, providing assessed costs of moving raw materials on ocean going vessels. Comprises sub-Indices for three segments: Capesize, Panamax and Supramax. The Baltic Handysize Index excluded from the BDI from 1 March 2018.

**IGC Grains and Oilseeds Freight Index (GOFI):** A trade-weighted composite measure of ocean freight costs for grains and oilseeds, issued daily by the International Grains Council. Includes sub-Indices for seven main origins (Argentina, Australia, Brazil, Black Sea, Canada, the EU and the USA). Constructed based on nominal HSS (heavy grains, soybeans, sorghum) voyage rates on selected major routes.

**Capesize:** Vessels with deadweight tonnage (DWT) above 80,000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

**Panamax:** Carriers with capacity of 60,000-80,000 DWT, mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

**Supramax/Handysize:** Ships with capacity below 60,000 DWT, accounting for the majority of the world's ocean-going vessels and able to transport a wide variety of cargos, including grains and oilseeds.

## Explanatory notes

The notions of **tightening** and **easing** used in the summary table of “Markets at a glance” reflect judgmental views that take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts are based on the latest data published by FAO, IGC and USDA. For the former, they also take into account information provided by AMIS focal points (hence the notion “FAO-AMIS”). World estimates and forecasts produced by the three sources may vary due to several reasons, such as varying release dates and different methodologies used in constructing commodity balances. Specifically:

**Production:** Wheat production data from all three sources refer to production occurring in the first year of the marketing season shown (e.g. crops harvested in 2016 are allocated to the 2016/17 marketing season). Maize and rice production data for FAO-AMIS refer to crops harvested during the first year of the marketing season (e.g. 2016 for the 2016/17 marketing season) in both the northern and southern hemisphere. Rice production data for FAO-AMIS also include northern hemisphere production from secondary crops harvested in the second year of the marketing season (e.g. 2017 for the 2016/17 marketing season). By contrast, rice and maize data for USDA and IGC encompass production in the northern hemisphere occurring during the first year of the season (e.g. 2016 for the 2016/17 marketing season), as well as crops harvested in the southern hemisphere during the second year of the season (e.g. 2017 for the 2016/17 marketing season). For soybeans, the latter approach is used by all three sources.

**Supply:** Defined as production plus opening stocks by all three sources.

**Utilization:** For all three sources, wheat, maize and rice utilization includes food, feed and other uses (namely, seeds, industrial uses and post-harvest losses). For soybeans, it comprises crush, food and other uses. However, for all AMIS commodities, the use categories may be grouped differently across sources and may also include residual values.

**Trade:** Data refer to exports. For wheat and maize, trade is reported on a July/June basis, except for USDA maize trade estimates, which are reported on an October/September basis. Wheat trade data from all three sources includes wheat flour in wheat grain equivalent, while the USDA also considers wheat products. For rice, trade covers shipments from January to December of the second year of the respective marketing season. For soybeans, trade is reported on an October/September basis by FAO-AMIS and the IGC, while USDA data are based on local marketing years except for Argentina and Brazil which are reported on an October/September basis. Trade between European Union member states is excluded.

**Stocks:** In general, world stocks of AMIS crops refer to the sum of carry-overs at the close of each country's national marketing year. For soybeans, stock levels reported by the USDA are based on local marketing years, except for Argentina and Brazil, which are adjusted to October/September. For maize and rice, global estimates may vary across sources because of differences in the allocation of production in southern hemisphere countries.

**For more information on AMIS Supply and Demand, please view [AMIS Supply and Demand Balances Manual](#).**

### Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, OECD, Reuters, USDA, US Federal Reserve, WTO

## AMIS - GEOGLAM Crop Calendar

### Selected leading producers

| Wheat           |                   | J | F | M | A | M | J | J | A | S | O | N | D |
|-----------------|-------------------|---|---|---|---|---|---|---|---|---|---|---|---|
| EU (21%)*       | winter            |   |   |   |   |   |   |   |   |   |   |   |   |
| China (17%)     | spring            |   |   |   |   |   |   |   |   |   |   |   |   |
|                 | winter            |   |   |   |   |   |   |   |   |   |   |   |   |
| India (13%)     | winter            |   |   |   |   |   |   |   |   |   |   |   |   |
| US (8%)         | spring            |   |   |   |   |   |   |   |   |   |   |   |   |
|                 | winter            |   |   |   |   |   |   |   |   |   |   |   |   |
| Russia (8%)     | spring            |   |   |   |   |   |   |   |   |   |   |   |   |
|                 | winter            |   |   |   |   |   |   |   |   |   |   |   |   |
| Maize           |                   | J | F | M | A | M | J | J | A | S | O | N | D |
| US (35%)        |                   |   |   |   |   |   |   |   |   |   |   |   |   |
| China (22%)     | north             |   |   |   |   |   |   |   |   |   |   |   |   |
|                 | south             |   |   |   |   |   |   |   |   |   |   |   |   |
| Brazil (8%)     | 1st crop          |   |   |   |   |   |   |   |   |   |   |   |   |
|                 | 2nd crop          |   |   |   |   |   |   |   |   |   |   |   |   |
| EU (7%)         |                   |   |   |   |   |   |   |   |   |   |   |   |   |
| Argentina (3%)  |                   |   |   |   |   |   |   |   |   |   |   |   |   |
| Rice            |                   | J | F | M | A | M | J | J | A | S | O | N | D |
| China (29%)     | intermediary crop |   |   |   |   |   |   |   |   |   |   |   |   |
|                 | late crop         |   |   |   |   |   |   |   |   |   |   |   |   |
|                 | early crop        |   |   |   |   |   |   |   |   |   |   |   |   |
| India (21%)     | kharif            |   |   |   |   |   |   |   |   |   |   |   |   |
|                 | rabi              |   |   |   |   |   |   |   |   |   |   |   |   |
| Indonesia (9%)  | main Java         |   |   |   |   |   |   |   |   |   |   |   |   |
|                 | second Java       |   |   |   |   |   |   |   |   |   |   |   |   |
| Viet Nam (6%)   | winter-spring     |   |   |   |   |   |   |   |   |   |   |   |   |
|                 | summer/autumn     |   |   |   |   |   |   |   |   |   |   |   |   |
|                 | winter            |   |   |   |   |   |   |   |   |   |   |   |   |
| Thailand (4%)   | main season       |   |   |   |   |   |   |   |   |   |   |   |   |
|                 | second season     |   |   |   |   |   |   |   |   |   |   |   |   |
| Soybeans        |                   | J | F | M | A | M | J | J | A | S | O | N | D |
| USA (31%)       |                   |   |   |   |   |   |   |   |   |   |   |   |   |
| Brazil (29%)    |                   |   |   |   |   |   |   |   |   |   |   |   |   |
| Argentina (18%) |                   |   |   |   |   |   |   |   |   |   |   |   |   |
| China (4%)      |                   |   |   |   |   |   |   |   |   |   |   |   |   |
| India (3%)      |                   |   |   |   |   |   |   |   |   |   |   |   |   |

\* Percentages refer to the global share of production (average 2013-15).

|  |                                                            |  |                |
|--|------------------------------------------------------------|--|----------------|
|  | Planting (peak)                                            |  | Harvest (peak) |
|  | Planting                                                   |  | Harvest        |
|  | Weather conditions in this period are critical for yields. |  | Growing period |

### 2021 AMIS Market Monitor Release Dates

February 4, March 4, April 8, May 6, June 3, July 8, September 2, October 7, November 4, December 2